	Equity share capital A/c (100 × 10)	Dr.		1,000	
	To Equity share second and final call A/c				200
	To Forfeited shares A/c				800
	(100 shares forfeited)				
	Bank A/c (100 × 7)	Dr.		700	
	Forfeited shares A/c	Dr.		300	
	To Equity share capital A/c (100 × 10)				1,000
	(Shares forfeited reissued)				
	Forfeited shares A/c (800-300)	Dr.		500	
	To Capital reserve A/c				500
	(Gain on reissue of forfeited shares transferred to capital reserve account)				

Illustration 14

X company issued 10,000 equity shares of ₹ 10 each payable as under:

On application	₹ 2
On allotment	₹ 4
On first call	₹ 2
On second and final call	₹ 2

Applications were received for 30,000 shares. Applications for 10,000 shares were rejected and allotment was made proportionately towards remaining applications and the excess application money is adjusted towards allotment money. The directors made both the calls and the all the amount were received except the final call on 600 shares which were subsequently forfeited. Later 400 forfeited shares were reissued as fully paid by receiving ₹ 7 per share. Give journal entries.

Solution

In the books of X company

Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Bank A/c (30,000 × 2)	Dr.		60,000	
	To Equity share application A/c				60,000
	(Application money received on 30,000 shares @ ₹ 2 per share)				
	Equity share application A/c (10,000 × 2)	Dr.		20,000	
	To Equity share capital A/c				20,000
	(Share application transferred to share capital)				
	Equity share application A/c	Dr.		40,000	
	To Bank A/c (10,000 × 2)				20,000
	To Equity share allotment A/c (10,000 × 2)				20,000
	(Application money refunded for rejected applications and excess application money adjusted towards allotment)				

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